CORPORATE REPORTING

Suggested Answers

March-April 2023

Answer to the Question# 1

The statement of financial position does not include the subsidiary disposed of, as it is no longer controlled at the reporting date. As Asian Pharma Limited has been divested as of the reporting date. it will not be included while consolidating the financial statements. However, Luminous held 50% ownership of Asian throughout the year and entitled to 50% profit earned during the year which will be consolidated and reported as profit from discontinued operations. Any gain/loss from disposal will also be reported in profit or loss statements.

For Consolidation, only Luminous and Glory will be considered. Consolidated financial statements and its workings is given below:

Luminous Chemicals Limited

Consolidated Financial Statements for the year ended 31 December 2022

	Luminous	**Glory**	**Adjustment**	**Consolidated**
Assets				
Non-Current Assets				
Property, Plant & Equipment	11,174,700	13,341,300		24,516,000
Intangibles	1,727,300	1,222,378		2,949,678
Right of use Asset	-	4,539,172	(4,539,172)	-
Investments including subsidiaries & JV	10,450,000	-	(9,400,000)	1,050,000
Goodwill (W3)	-	-	2,040,000	2,040,000
	23,352,000	**19,102,850**	**(11,899,172)**	**30,555,678**
Current Assets				
Inventories (W2)	4,943,400	4,840,500	(499,995)	9,283,905
Trade & Other Receivables	3,672,900	1,654,800	(1,560,000)	3,767,700
Advance, Deposits & Prepayments	2,001,300	1,316,700		3,318,000
Cash & Cash Equivalents	1,547,700	249,900	2,170,000	3,967,600
	12,165,300	**8,061,900**	**110,005**	**20,337,205**
Total Assets	**35,517,300**	**27,164,750**	**(11,789,167)**	**50,892,883**
Equity and liabilities				
Equity				
Share capital (W1)	4,725,000	7,500,000	(7,500,000)	4,725,000
Retained earnings (W5)	22,911,000	10,007,700	(2,048,308)	30,870,392
Other comprehensive income				-
Non-Controlling interest (W4)	-	-	3,401,541	3,401,541
	27,636,000	**17,507,700**	**(6,146,767)**	**38,996,933**
Non-current liabilities				
Lease liabilities	-	2,261,800	(2,261,800)	-
	-	**2,261,800**	**(2,261,800)**	**-**
Current liabilities				
Lease Liabilities (non-current)	-	1,820,600	(1,820,600)	-
Trade & other payables	4,225,200	2,137,800	(1,560,000)	4,803,000
Provision for expenses	1,871,100	2,043,300		3,914,400
Taxation	1,785,000	1,393,550		3,178,550
	7,881,300	**7,395,250**	**(3,380,600)**	**11,895,950**
Total equity & liabilities	**35,517,300**	**27,164,750**	**(11,789,167)**	**50,892,883**

Statement of Financial Performance	Luminous	Glory	Asian (1/2)	Adjustment	Consolidated
Revenue	42,620,760	29,647,296	4,850,818	(15,416,595)	61,702,279
Cost of revenue	(23,441,418)	(20,160,161)	(2,643,324)	15,416,595	(30,828,308)
Less: PURP (W2)		(499,995)		-	(499,995)
Gross Margin	**19,179,342**	**8,987,140**	**2,207,494**	**-**	**30,373,976**
Administrative expenses	(13,041,953)	(7,589,708)	(1,439,594)	766,453	(21,304,802)
Other income	2,160,000		-	(2,160,000)	-
Gain on Sale of assets (W8)	959,548	-	-	-	959,548
Finance cost	-	(936,775)	-	936,775	-
Tax expenses	(3,068,695)	(398,460)	(250,100)	-	(3,717,255)
Net profit	**6,188,242**	**62,197**	**517,800**	**(456,772)**	**6,311,467**
Other comprehensive income	-	-	-	-	-
Total comprehensive income	**6,188,242**	**62,197**	**517,800**	**(456,772)**	**6,311,467**

Profit attributable to Luminous Shareholder	6,299,028
Profit attributable to non-controlling shareholder	12,439
	6,311,467

Workings 1: Net Asset of Glory Limited

Particulars	Year End	Acquisition	Post-Acquisition
Share Capital	7,500,000	7,500,000	-
Retained Earnings			
As provided	10,007,700	950,000	9,057,700
Inventory PURP (W2)	(499,995)	-	(499,995)
	17,007,705	**8,450,000**	**8,557,705**
Controlling ownership %	**80%**	**80%**	**80%**
Net Asset owned by Luminous	**13,606,164**	**6,760,000**	**6,846,164**

Workings 2: Inventory PURP- Glory Ltd.

Glory sold total raw materials worth of BDT 15,416,595 out of which BDT 2,166,640 remains unused at Luminous inventory. Glory normally makes at 30% margin from such sales. Therefore, there is unrealized profit within Luminous of.

Asset value at Luminous's book	= 2,166,640
Unrealized margin rate	30% .
Amount of unrealized profit (2,166,640 x 0.3/1.3)	= 499,995

During consolidation, this PURP need to be added with Glory cost of sales and removed from Luminous inventory.

Workings 3: Calculation of Goodwill from Glory Acquisition

Consideration transferred		= 8,800,000
Add: Non-controlling interest acquired (W1 x 20%)	= 8,450,000 x 20%	= 1,690,000
Total consideration including non-controlling interest		**= 10,490,000**
Less: Net Asset Acquired	= 8,450,000	= (8,450,000)
Goodwill		**= 2,040,000**

Workings 4: Balance of non-controlling interest

Non-controlling interest on acquisition date (W1 x 20%) = 8,450,000 x 20%	= 1,690,000
Add: Share of post-acquisition reserve = 8,557,705 x 20%	= 1,711,541
Total non-controlling interest	**= 3,401,541**

Workings 5: Retained Earnings

Luminous's own retained Earnings	= 22,911,000
Less: Adjustment for Lease (W6)	= (456,772)
Add: Share of post-acquisition reserve from Glory (W1x80%)	= 6,846,164
Add: Share of post-acquisition reserve from Asian (W7)	= 610,452
Add: Gain from disposal of investment in Asian (W8)	= 959,548
Total retained earnings of Luminous at the year-end	**= 30,870,392**

Workings 6: Adjustment for rental income in excess of Lease expense charged by Glory

Other income recognized by Luminous		2,160,000	
Less: Expense charged by Glory:			
Finance Expenses	936,775		
Depreciation expenses	766,453	1,703,228	**456,772**

Workings 7: Net Asset of Disposed in Asian

Particulars	Year End	Acquisition	Post-Acquisition
Share Capital	100,000	100,000	0
Retained Earnings	101,742	0	101,742
(x) Historical exchange rate	12	12	12
	2,420,904	**1,200,000**	**1,220,904**
Ownership %	**50%**	**50%**	**50%**
Net Asset owned by Luminous	**1,210,452**	**600,000**	**610,452**

Workings 8: Gain from disposal of investment in Asian

Consideration received (RMB 140,000 x 15.5)	= 2,170,000
Less: Net asset disposed	= (1,210,452)
Profit from disposal of Asian	**= 959,548**

Answer to the Question# 2 (a)

If the employees select the equivalent cash options, option is vests immediately and equivalent cash amount will be paid to the employees. Bubble will need to pay 2500 x 300 x 25 = 18,750,000 to its employees. It should pass following entries:

Staff Cost	Dr.	18,750,000
Bank	Cr.	18,750,000

Answer to the Question# 2 (b)

If employees select share option route, options will vest by the end of 31 December 2023 till when employees are required to be employed. Value of the Share route will be 2,500 x 900 x 34 = 76,500,000. Therefore, there is an equity component inbuilt within this share option which has fair value of (76,500,000 - 18,750,000) = 57,750,000 which will be reported in Equity. This equity component will be recognized over the vesting period estimating the actual number of shares to be issued to the employees. As fair value of complex share options is the sum of debt option and equity option, therefore debt components will be 18,750,000 which represents the 300 share options which will be used for remeasuring debt component i.e., cash settled share-based payment.

On 31 December 2021, 500 already left bubble and further 500 are expected to leave. So, 1500 employees are expected to exercise the option. So, equity component for only 1500 will be recognized. Similarly, debt component will also be recognized for 1500 employees based on 36 taka which is the latest fair value of the share options.

Again, on 31 December 2022, 1250 employees already left and expected that remain 1250 employee will exercise the option at the end of vesting period. So, Equity component for only 1250 employee will be considered. Latest fair value of the option increased by 2 Taka so debt component is to be remeasured with latest fair value for the expected number of shares to be issued.

For 31 December 2023, it is expected that 1250 employee will remain with bubble and options to 1250 employee will vest. If any employee leaves from these 1250 employees, actual number of employees who are expected to receive the shares will be used for final calculation. It has been assumed that no employee will leave bubble by 31 December 2023. Accounting treatment for all the years for both debt and equity component will be:

Year	Particulars	Liabilities	Equity	Expenses

2021	Allocation of Equity Component 1/3 x 57,750,000 x 1500/2500		11,550,000	11,550,000
	Allocation of Debt Component 1/3 x 1500 x 300 x 36	5,400,000		5,400,000
2022	Allocation of Equity Component 2/3 x 57,750,000 x 1250/2500		19,250,000	7,700,000
	Allocation of Debt Component 2/3 x 1250 x 300 x 38	9,500,000		4,100,000
2023	Allocation of Equity Component 3/3 x 57,750,000 x 1250/2500		28,875,000	9,625,000
	Allocation of Debt Component 3/3 x 1250 x 300 x 40	15,000,000		5,500,000

On the settlement date, liability of 15,000,000 will be settled by issuing equity. Hence total equity reported will be 15,000,000 + 28,875,000 = 43,875,000.

Answer to the Question# 2 (c)

10 senior executives were offered slightly different opinion. They have been offered market-based share options where they need to achieve share price increase by 20% within the vesting period. Further, they should achieve profit increase by 12% in a year or by an average of 12% in any two years. If the conditions are not met by the end of 4th year, only 30% options will vest. This means vesting period could be minimum of 2 years and maximum of 4 years subject to achievement of the targets. These shares will be issued in exchange of their service to the company. Hence, amount for share options will be expensed in the profit or loss statement.

From the provided information about share options and conditions, it appears that 30% option will vest regardless of conditions are not fulfilled. So, these should be considered as liability immediately. However, if the market-based conditions are fulfilled, 100% options will vest.

Provided information shows that 2 senior executives have already left Bubble, and another is also expected to leave. So, options granted to 7 senior executives are expected to vest. Furthermore, market condition has not been met by 31 December 2021 and also not expecting to meet by 31 December 2022. So, Bubble should recognize 1/4th liability for 30% option to the 7 executives for the 1st year. By year end, fair value is expected to increase to 36 by 2 taka (34 +2 = 36)

In 31 December 2022, Bubble expects to meet market-based vesting condition by year 2023. But it expects that only 6 senior executives will remain with the company. So, it should recognize a liability of half of liability for 100% option to the 6 executives for the 1st year. By year end, fair value is expected to increase to 38 by 2 taka (36 +2 = 38)

In 31 December 2023, if the expected achievements of market-based conditions are fulfilled, Bubble should recognize a liability of full amount of liability for 100% option to the 6 executives and charge the difference between 2023 and 2022 liability as expenses. By year end, fair value is expected to increase to 40 by 2 taka (38 +2 = 40)

Accounting treatment for all the years for the senior executive scheme will be:

Year	Particulars	Liabilities	Expenses
2021	Allocation of Debt Component 1/4 x 5000 x 7 x 36 x 30%	94,500	94,500
2022	Allocation of Debt Component 1/2 x 5000 x 6 x 38 x 100%	570,000	475,500
2023	Allocation of Debt Component 2/2 x 5000 x 6 x 40 x 100%	1,200,000	630,000

Answer to the Question# 2 (d)

If the 3rd year market-based conditions are not matched, Bubble will forecast whether it can achieve the conditions by end of 4th year. If it can, it would revise the liability equivalent to half of liability for 100% option to the 6 executives for the 1st year considering fair value is expected to increase to 40 by 2 taka (38 +2 = 40). It should adjust the previous year obligations and recognize its impact in profit or loss statement. If no conditions are expected to meet, it should recognize liability for 30% vesting only.

Accounting treatment for all the years for the senior executive scheme will be:

Considering conditions will be met at 4th year:

Year	Particulars	Liabilities	Expenses
2023	Allocation of Debt Component 1/2 x 5000 x 6 x 40 x 100%	600,000	30,000 *

* (600,000 less liability balance as at 31 December 2022)

Considering conditions will not be met at 4th year:

Year	Particulars	Liabilities	Expenses
2023	Allocation of Debt Component 3/4 x 5000 x 6 x 40 x 30%	270,000	(300,000) **

** (270,000 less liability balance as at 31 December 2022)

Answer to the Question# 2 (e)

Ethical issues involved:
First ethical issue is that Bubble's CFO Mr. Khan has taken cost cutting initiative by forcing employees to resign. These employees include who have been granted share options. Because of this downsizing, payroll cost has decreased. Furthermore, expense related to share option has also decreased. This led to increase in company profitability which eventually led to increase of share price and meeting the vesting conditions of scheme granted to the senior executives. It appears that CFO is biased to the senior executive. Furthermore, there is possibility that CFO himself is one of the recipients of the options granted to the senior executives. This will lead to misstatement in the financial statements. Also in long run, company will suffer due to lack of available resource and lack of morale in the existing employees. Also, there is a possibility of litigation by these forcedly removed employees.

Second ethical issue is that CFO asked company accountants to increase the useful life of PPE items. This will enable bubble to charge lower amount of depreciation which will also lead to increase in company profitability. Because of this changes, PPE amount in the financial statements will be misstated and lead to non-compliance of IFRS. Bubbles may be charged with penalty by the regulators for this non-compliance.

Actions for the board of Bubbles:
Bubbles board should actively monitor the cost cutting initiatives and oversee the decisions taken by Mr. Khan as he is a probable beneficiary of the senior executive share scheme. For the performance lead incentives, there are high chances of misstatements in the financial statements. Bubble's board should focus on strengthening the internal control on financial reporting and monitor the reporting process at accounts department.

Board also should review the financial statements properly and ask for satisfactory explanation from CFO and accounts department for significant fluctuation including decrease from prior year reported figure. If necessary, Board my deploy or appoint an internal auditor to monitor the financial reporting process.

Answer to the Question# 3 (a)

Angel needs to adjust the financial statements of Urban and Charming before it can make the financial statements. Following adjustments should be made:

In Urban's financial statements:

- Because it reported the advance against share as contract liability, it should make correction and report the advance for share in Equity section instead of current liabilities. So current liability should be decreased and advance for equity in Equity section should be increased.
- In case of internally generated intangible assets, research cost needs to be expensed whereas developing cost can be capitalized. Therefore, financial asset needs to be decreased by BDT 120,000 and charge it to expenses.

In Charming's financial statements:

- Other comprehensive income reported in Charming's financial statements is related to unrealized exchange loss at the year-end which need to be reported as expenses in the profit or loss statement instead of other comprehensive income. Profit or loss exchange loss should be debited (also as retained earnings) and the other comprehensive income credited.
- Unpaid Vat claim by authority may become an obligation to Charming. Despite Charming and its legal team does not agree with the claim by VAT authority, charming might have to pay off the claim amount before it can place its argument and request for refund. Based on this probable liability, Charming might have to create provision for the liability by debiting expense and crediting liabilities.
- Charming has recognized other income due to export cash incentive. However, receipt of this cash incentive is subject to clearance to auditor. As there is still uncertainty regarding audit outcome, this government grant may not be recognized. Therefore, this other income may be reversed and may be recognized when received.

Based on the above-mentioned adjustment, financial statements of Urban and Charming have been revised below:

Statement of Profit or Loss and Other Comprehensive Income
For the year ended 31 December 2021

	Urban	Adj	Adjusted Urban	Charming	Adj	Adjusted Charming
Revenue	16,252,000		16,252,000	23,640,000	-	23,640,000
Cost of revenue	(7,540,000)		(7,540,000)	(11,638,000)	-	(11,638,000)
Gross Profit	**8,712,000**	**-**	**8,712,000**	**12,002,000**	**-**	**12,002,000**
Administration expenses	(4,500,000)	(120,000)	(4,620,000)	(8,300,000)	(1,451,000)	(9,751,000)
Other income	-	-	-	236,400	(236,400)	-
Profit before interest & taxes	**4,212,000**	**(120,000)**	**4,092,000**	**3,938,400**	**(1,687,400)**	**2,251,000**
Selling & distribution expenses	(1,112,000)	-	(1,112,000)	(1,151,000)	-	(1,151,000)
Profit before interest & taxes	**3,100,000**	**(120,000)**	**2,980,000**	**2,787,400**	**(1,687,400)**	**1,100,000**
Finance expenses	(118,000)		(118,000)	(13,000)	-	(13,000)
Profit before taxation	**2,982,000**	**(120,000)**	**2,862,000**	**2,774,400**	**(1,687,400)**	**1,087,000**
Current tax expenses	(32,000)		(32,000)	(28,000)	-	(28,000)
Net profit for the year	**2,950,000**	**(120,000)**	**2,830,000**	**2,746,400**	**(1,687,400)**	**1,059,000**
Other comprehensive income	-	-	-	(251,000)	251,000	-
Total comprehensive income	**2,950,000**	**(120,000)**	**2,830,000**	**2,495,400**	**(1,436,400)**	**1,059,000**

Statement of Financial Position
For the year ended 31 December 2021

	Urban	Adj	Adjusted Urban	Charming	Adj	Adjusted Charming
Non-current assets						
Property, plant and equipment	9,102,000	-	9,102,000	4,609,000	-	4,609,000
Financial assets	370,000	(120,000)	250,000	217,000	-	217,000
	9,472,000	**(120,000)**	**9,352,000**	**4,826,000**	-	**4,826,000**
Current assets						
Inventories	1,253,000	-	1,253,000	2,575,000	-	2,575,000
Trade receivables	468,000	-	468,000	5,455,000	(236,400)	5,218,600
Cash and cash equivalents	353,000	-	353,000	9,170,000	-	9,170,000
Other current assets	445,000	-	445,000	149,000	-	149,000
	2,519,000	**-**	**2,519,000**	**17,349,000**	-	**17,112,600**
Total assets	**11,991,000**	**(120,000)**	**11,871,000**	**22,175,000**	-	**2,193,860**
Equity						
Share capital (Face value 10 Taka)	2,342,000	-	2,342,000	2,021,000	-	2,021,000
Retained earnings	6,347,000	(120,000)	6,227,000	3,453,000	(1,687,400)	1,765,600
Reserve for comprehensive income	-	-	-	(251,000)	251,000	-
Advance received for share	-	200,000	200,000	-	-	-
	8,689,000	**80,000**	**8,769,000**	**5,223,000**	**(1,200,000)**	**3,786,600**
Non-current liabilities						
Financial liabilities	1,000,000	-	1,000,000	8,200,000	-	8,200,000
	1,000,000	**-**	**1,000,000**	**8,200,000**	-	**8,200,000**
Current liabilities						
Contract liabilities	610,000	(200,000)	410,000	1,144,000	-	1,144,000
Trade & other Payable	644,000	-	644,000	6,581,000	-	6,581,000
Short term loan	858,000	-	858,000	-	-	-
Tax payable	32,000	-	32,000	27,000	-	27,000
Other current liabilities	158,000	-	158,000	1,000,000	1,200,000	2,200,000
	2,302,000	**(200,000)**	**2,102,000**	**8,752,000**	**1,200,000**	**9,952,000**
Total equity & liabilities	**11,991,000**	**(120,000)**	**11,871,000**	**22,175,000**	-	**21,938,600**

Analysis of the financial statements:

	Urban	Charming
Short term solvency ratio		
Current Ratio	1.20	1.72
Quick ratio	0.60	1.46
Cash ratio	0.17	0.92
Gearing Ratio	0.114	2.17
Performance ratio		
Return on capital employed	31%	9%
Return on assets	24%	5%
Return on equity	32%	26%
Efficiency Ratio		
Asset turnover	1.37	1.07
Net asset turnover	1.85	5.88
Margin Analysis		
GP%	54%	51%
Net Profit %	17%	4%

Commentary:

Solvency ratios of the entity:

Analysis of financial position of Urban and Charming shows that each company has good financial position. Urban has current ratio of near to 1.20 whereas Charming has current ratio of 1.72. Despite current ratio for both entity is below 2 which is considered to be standard, Charming has current ratio closet to standard. Current ratio on adjusted financial statement shows that both entities have sufficient capability of paying off the current liabilities from its current assets compared. However Charming is much more capable compared to Urban in settling its current liabilities using its current assets. This is because Charming has higher investment in working capital compared to Urban.

Acid test/ quick ratio helps to understand how quick an entity can convert its current assets in case of immediate payment of current liabilities. Analysis of quick ratio of both Financial Statements shows that the Urban has quick ratio of 0.60 whereas Charming has quick ratio of 1.46. This indicates that Charming has sufficient liquid asset to pay off its current liabilities. As the ratio exceed 1 which is considered to be standard, it indicates Charming has more capability compared to Urban to manage liquidity crisis if any significant sudden liability arises. Urban will have to increase its working capital to improve its current position.

Cash ratio indicates the ability to pay off the current liabilities with available cash only. Analysis shows Urban has cash ratio of 0.17 whereas Charming has Cash ratio of 0.92. This means Charming has sufficient cash to meet almost entire amount of the current liabilities. On the contrary, Urban has very poor strength to meet the obligation with only cash.

Solvency ratio analysis shows that Urban does not have strong cash position. Its current assets are barely sufficient to meet the current obligations. Whereas Charming has strong in cash position and has sufficient working capital in order to meet sudden surge in obligation.

Based on the revised financial statements, gearing ratio for Urban is 0.35 whereas the same ratio for Charming is 4.79. This shows that Charming is highly geared company compared to Urban. Charming has nearly 4 times debt in its capital structure whereas debt for urban has debt less than 50%. Charming is exposed to higher credit risk compared to Urban however, due to gearing, Charming was able to expand its business.

Performance ratios of the entity:

From the Analysis on return on capital employed, Urban has 31% return on capital employed whereas Charming has only 9% return on capital employed. This mean Urban is generating significant return to its investors compared to Charming.

Return on Asset analysis shows that Urban management were able to generate 24% return utilizing its assets. Whereas Charming was able to generate only 5% return using its assets. This means Urban is more efficient in utilizing its assets compared to Charming.

Return on equity shows some improvement in the performance. Urban was able to generate 32% return on shareholders' equity. On the other hand, charming was able to generate only 26% return on shareholders' equity. Although Charming's performance is comparatively better from other performance indicators but its's financial performance is below per compared to Urban.

Efficiency ratios of the entity:

Efficiency ratio aims to show how efficient an entity is in case of generating revenue utilizing its assets. Efficiency ratios shows that both Urban and Charming were able to generate revenue higher than the total assets. Both companies show asset turnover ratio which slightly over 1.0 despite Urban had reported a very impressive financial performance.

However, analysis of net asset turnover shows a contrary result. From the analysis it appears that net asset turnover for Urban is 1.85 whereas the same for Charming is 5.88. This means Charming is more efficient compared to Urban in generating revenue with its net assets.

Revenue and margin analysis of the entity:

Analysis of the revenue shows that Urban has earned revenue of 16,252,000 whereas Charming has earned revenue of 23,640,000. In absolute term, Charming have earned almost 50% more revenue that of Urban. So charming has performed better on revenue generation.

Gross profit margin for both companies is more than 50%. GP margin for Urban is 54% whereas the margin for Charming is 51%. This indicates that both entity has similar margin but Urban has comparatively higher margin than Charming.

Although GP margins for both companies are in the similar level, net profit margin shows a totally opposite scenario. Urban's net profit margin is 17% whereas the margin is only 5% for Charming. This shows that Charming has higher operating cost ratio compared to Urban. Bottom-line profit and profit percentage is much higher for than Charming.

Answer to the Question# 3 (b)

Calculation of earnings per share of both companies based on the revised financial statements.

Revised net profit for the year (A)	**2,830,000**	**1,059,000**
Share Capital	2,342,000	2,021,000
Nominal Shares from Share advance	200,000	-
Total Equity for consideration	**2,542,000**	**2,021,000**
Face value	10	10
Total number of shares for EPS Calculation (B)	**254,200**	**202,100**
Earnings per share (A/B)	**11.13**	**5.24**

Answer to the Question# 3 (c)

From the overall analysis, Charming has strong financial position. However, from the financial performance perspective Urban has been going extremely well compared to Charming which has been reflected in profit margin and absolute bottom-line. Furthermore, Urban is efficient in utilizing its resources and generate good return on its shareholders. Earnings per share (EPS) for urban is 11.13 whereas the same for Charming is 5.24. Therefore, shareholders' wealth is maximized with Urban. Therefore, it would be better for AICL to invest on Urban and grow the business and help to make its financial position stronger.

Answer to the Question# 4 (a)

Memo – Audit risks and testing approach
Client: Fine Vehicles Group Limited
Year end: 31 December 2022
To: Audit Engagement Partner
From: Audit Manager
Date: TODAY

Subject: Audit risks and testing approach

1. First year audit

We lack cumulative audit knowledge and experience of this client.

Testing approach:

- Read the most recent financial statements and auditor's report.
- Conduct thorough planning and research to gain an understanding of the business.
- Use more senior and experienced staff to carry out work on risky and subjective areas.
- Ensure sufficient staff are made available to complete audit work.
- Request to review the prior year auditor's working papers in order to gain assurance over opening balances.
- Perform substantive procedures on opening balances if they cannot be verified by other means.
- Determine whether the opening balances reflect the application of appropriate accounting policies.

2. Revenue Recognition

Revenue is a key risk area to ensure sales are not being artificially inflated or sales made at a loss.

Testing approach:

- Perform substantive analytical review procedures by disaggregating revenue by

plant and each of the revenue streams
- Discuss any significant movements with management, and obtain appropriate explanations.
- Select a sample of sales from the general ledger to till reports and payments made by customers.
- Review post year end credit notes refunds issued for evidence of window dressing.
- Consider fraud due to revenue recognition

3. Fraud

Introduction of bonus scheme linked to revenue creates incentive to manipulate revenue.

Testing approach:

- Review sales nominal ledger for evidence of any unusual journal entries posted.
- Inspect the last five sales invoices in the accounting period, and the first five sales invoices in the next accounting period to ensure cut−off is correct.
- Inspect documentation of how each bonus is calculated.

4. Group financial controller resigned in November 2022, and has not been replaced.

The group financial controller left in November 2022 and the separate financials from each plant have not been reviewed since October 2022 − this increases control risk. Also, the consolidated financial statements have not been prepared for the year ended 31 December 2022. The loss of an experienced and important staff member increases the risk of material misstatement.

Testing approach:

- The audit team should remain alert throughout the audit for misstatements due to error or fraud.
- Discuss with the managing director, and finance manager whether they will be able to provide the information required during the audit, in the absence of the group financial controller.
- Being first year audit, perform controls testing at both the plant and the sales centers to ensure that good controls are in place.

5. Revaluation of land and building

Land and Buildings could be under or overvalued if the recent valuation has not been carried out in accordance with IAS 16 Property, Plant & Equipment and adequate disclosures may not have been made in the financial statements.

Testing approach:

- Discuss with management the process adopted for undertaking the valuation of Land & Buildings. This process should be reviewed for compliance with IAS 16.
- In accordance with ISA 620 "Using the Work of an Auditor's Expert" ensure the
- expert has the appropriate skills, qualifications and expertise for carrying out the valuation. It is also important to ensure they are independent.
- Ensure the assumptions used when carrying out the valuation were appropriate.
- Compare the valuation of Land & Buildings to similar properties in the area.
- Ensure the depreciation is based on the revalued amount.
- Review the disclosures of the revaluation in the financial statements for compliance with IAS 16.
- Ensure all assets are revalued. (i.e., no cherry picking)

6. Acquisition of Chittagong Plant

It Is important that the entity has been included within the consolidated financial statements in accordance with IFRS 3 − Business Combinations. In addition, it is important to check if any

goodwill was recognised in relation to the acquisition, and if it had been recognized appropriately. In addition, as the plant was acquired part way through the accounting period, only the activity from September 2022 − December 2022 should be included within the consolidated statement of comprehensive income.

Testing approach:

- Inspect the legal documents of the purchase of the plant to ensure it has been acquired by the Fine Vehicle Group Limited, and the date the plant was acquired. (Existence, Rights & Obligations).
- Vouch the consideration paid for the plant to the supporting bank statements loan statements.
- Calculate if there was any goodwill on acquisition, and if this was calculated accurately and treated appropriately in the financial statements.
- Check if there was any impairment of goodwill in accordance with IAS 36 at the year end

7. Breach of loan covenants

The loan has bank covenants attached to it which, if breached, would result in the loan becoming repayable in full immediately. The directors will therefore be keen to ensure the financial statements are presented in such a way as to satisfy the loan covenants. Also, from discussion with management it is evident that they are struggling to have the management accounts for the quarter ended 31 December 2022 to the bank on time.

Testing approach:

- Plan to pay specific attention to more subjective and judgmental areas of the financial statements such as revaluation of Land & Buildings, cut-off and revenue recognition.
- Recalculate bank loan covenants based on the loan agreement to determine if the covenants are at risk of being breached
- Inspect correspondence with the group's bank to ascertain whether any issues have arisen in respect of the bank covenants or loan repayments.
- Inspect board minutes for evidence of any conflict with directors' personal interests.

8. Misstatement of payroll bonus costs

The key risk area is inflating sales to increase bonus will not take into account whether the sale is at a loss.

Testing approach:

- Review controls over the payroll function, select a sample of employees to recalculate the payroll amount.
- Select a sample of bonuses and test back-up workings to ensure that they are in line with the terms of the bonus scheme.

Answer to the Question# 4 (b)

ISA 620 "Using the Work of an Auditor's Expert "sets out additional procedures arising when planning to use an expert:

Evaluate the competence, capabilities and objectivity of the expert (ISA 620, para.9) using (ISA 620, Para. A15):

- Personal experience with previous work of the expert;
- Discussions with that expert;
- Discussions with other auditors or others who are familiar with that expert's work;
- Knowledge of that expert's qualifications, membership of a professional body or industry association, license to practice, or other forms of external recognition;
- Published papers or books written by that expert;
- The auditor's firm's quality control policies and procedures.

Other relevant matters may include (ISA 620, Para. A17):

- Relevance of the auditor's expert's competence to the matter for which that auditor's expert's work will be used;
- Their competence with respect to relevant accounting and auditing requirements, for example, knowledge of assumptions and methods.

Answer to the Question# 4 (c)

To: Audit Engagement Partner
From: Audit Manager
Date: Today

Subject: Fine Vehicles Group − Ethical concerns

Dear Sir,
Please see below, two ethical concerns I have identified in respect of the Fine Vehicles Group Limited including appropriate safeguards I have recommended:

Ethical concern	Threats	Appropriate safeguards
The CEO has invited the entire audit team over to Chattogram for the opening of the Plant in March 2023 free of charge. He has also ensured the audit team will be treated very well.	Self-interest threat	- The audit partner will need to determine the value of the free trip, however assuming that it will cost a significant amount of money, the audit partner should decline the offer. - If it is necessary to go over to the plant ensure that the audit firm pays all of the expenses
The Finance Director has asked if we would be able to help with the preparation of the consolidated financial statements for the year ended 31 December 2022.	Self−review threat Self−interest threat	If the audit firm were to prepare the financial statements, and then audit them, this would pose a self-review threat. It may also pose a self-interest threat depending on the fees received for carrying out the work. We should decline the work for preparing the financial statements, or else decline the audit.

Answer to the Question# 5 (a)

Audit Procedures need to be performed as per ISA on initial audit:

Evaluating and accepting engagement:

This is the first year of the company and initial audit for the audit firm. Being the engagement is new to the firm, firm must consider whether prior year auditor has been removed appropriately. Audit team also need to consider the reason for changing the auditor and whether the change is due to modification in the audit report. Consider all these factors audit firm should confirm audit team is independent and legally appointed as auditor.

Perform Opening balance procedures:

The auditor shall obtain sufficient appropriate audit evidence about whether the opening balances contain misstatements that materially affect the current period's financial statements by:

a) Determining whether the prior period's closing balances have been correctly brought forward to the current period or, when appropriate, have been restated.
b) Determining whether the opening balances reflect the application of accounting policies are appropriate and consistent; and
c) Requesting predecessor auditor for access of their year workpaper for reviewing and obtain evidence regarding the opening balances. Alternatively, audit team should perform specific audit procedures to obtain evidence regarding the opening balances.

Confirming the effect of modification in prior year audit report:

As the predecessor auditor's opinion includes a modification to the auditor's opinion, Audit team should evaluate whether that qualification issue remains relevant and material to the current period's financial statements. If the issue is relevant to the current year and material, the auditor shall modify the current period's auditor opinion.

Answer to the Question# 5 (b)

Analysis of component of CWIP:

Mira has reported a CWIP of BDT 184,059,244 in its latest draft financial statements which includes following cost components:

Depreciation of Right of use assets and interest on lease liabilities:
As per IFRS 16, leases are recognized as right of use assets and related liabilities as lease liabilities. In case of Mira, lease is related to the land on which factory building is being constructed. If IFRS 16 was not applied, Mira would recognize the rental payments against the use of lease. As per IAS 16, all directly attributable costs should be recognized as cost of self-generated assets. Under this consideration and alternative expense of rent, depreciation of BDT 9,448,189 on ROU asset can be capitalized only if charged during the construction period.

When applying IFRS 16, Mira recognized a lease liabilities as present value of future lease payments. These lease liabilities arise to acquire the right of use assets. As per IAS 23 borrowing cost, interest of a borrowing can be capitalized during construction period if the borrowings are made for the construction of qualifying assets. On this ground interest of BDT 15,425,930 on lease liabilities accrued during the construction period can be capitalized as cost of the construction cost.

If the depreciation of ROU Assets and Interest on lease liabilities include balances for post construction period (i.e. November & December), these should be removed as well. Here, it is assumed that depreciation of ROU Assets & interest on lease liabilities are related to construction period only.

Concession on lease rental:
According to IFRS 16, a lease is not required to reassess lease for modification if lease receives temporary rent concession. Rather the concession amount should be recognized as income in the profit or loss statement.

Mira reported the entire lease payment amount as per contract as construction cost and concession amount as other payables. It should reduce the construction cost by concession amount (BDT 225,000 x 50% x 6 = 675,000).

Income from renting out construction space:
During Covid-19, Mira rented out its construction place as warehouse to other company for 6 months at monthly rent of 25,000. Mira earned total of 150,000 as rental income. As per IAS 16, income generated from the construction related element should be considered as reduction of cost of the asset. Therefore, construction cost should be reduced by BDT 150,000 and reported as income in the statement of profit or loss.

Interest & depreciation on suspended period:
Under IAS 16 and IAS 23, cost and borrowing cost should be capitalized if it is directly attributable to the construction. However, as the construction was suspended for 6 months, related cost and interest expenses should be excluded from the construction cost. Therefore 20% x (9,448,189+15,425,930) = 2,48,74,119 x 20% = 49,74,824 should be deducted from the cost of construction.

Replacement cost of top floor:
During the construction period, top floor was demolished and reconstructed due to a design error. In this connection Mira incurred cost of 7,500,000 for initial construction and 2,500,000 in demolition. It further spent 9,500,000 to reconstruct the top floor. As per IAS 16, the cost of abnormal amounts of wasted material, labour, or other resources incurred in self-constructing an asset is not included in the cost of the asset. In case of Mira cost of erroneous construction and its demolition is abnormal cost and wastage of material, labour and other resources. Therefore, these costs (7,500,000+2,500,000 = 10,000,000) should be removed from the cost of CWIP and charged as expenses.

Therefore, total cost of CWIP should be reported as 168,259,420 (184,059,244 - 675,000 - 150,000 - 49,74,824 -10,000,000).

Capitalizing CWIP and Charging depreciation:
Building construction is completed and it is ready for use from 01 November 2022. Therefore, Mira should have capitalized the building as "factory 2 building' and charge depreciation for 2 months (November & December 2022).

Answer to the Question# 5 (c)

Audit strategy for testing audit assertions of CWIP:

In case of 'Capital Work-in-Progress', we need to test audit assertions 'Completeness', 'Measurement', 'Rights & Obligation' and Disclosers'. For each of these assertions, we will perform risk assessment and design our audit procedures based on the risk assessments. Our audit strategy will be:

- Perform Walkthroughs for the significant class of transactions related to CWIP.
- Identify the risks factors and understand the controls management put in place to address the risks.
- Perform test of significant controls whether controls can be relied on.
- Perform analytical procedures on the movement of carrying amount of CWIP.
- Obtain aging schedule of the cost elements of CWIP and check for abnormal cost components.
- Perform test of details on the cost incurred for completeness.
- Confirm the amount of cost recognized are correct
- Check for impairment indication and any impairment management has recognized.
- Check whether the cost meets the criteria to recognition as Building and needs to charge depreciation.
- Confirm whether appropriate presentation and disclosures has been made in the financial statements and its notes.

Answer to the Question# 5 (d)

As per IAS 21 all monetary items should be revalued at closing rate and non-monetary items are valued at historical rate at the year end. Advance receipt for the goods is a non-monetary item as it is expected to be

settled through delivery of goods rather than transfer of cash. Therefore, advance received should be valued at the rate of transaction date rather than closing rate. Mira receipt USD 75,000 as advance when exchange rate was BDT 105/$. During month of December, it recognized revenue of USD 45,000 by delivering 15,000 units of shirts. Closing advance balance of USD 30,000 therefore should be recognized at the rate of transaction date i.e., on 01 December 2022. Mira should report closing Advance balance of 30,000 x 105 = 31,50,000.

According to IFRS 21, when advance is receipt against delivery of goods, exchange rate for sale of goods will be the rate on which advance has been receipt. Therefore, Mira should recognize revenue for the delivered goods at the rate on 01 December 2022. Revenue for delivered goods against advance would be (45,000 x 105) = 47,25,000. Mira should report rest of the revenue for the month of December (USD 65,000- USD 45,000) = USD 20,000 on average monthly rate of BDT 104/$. Revenue other than against advance would be 20,000 x 104 = 20,80,000.

At the year-end Mira reported Trade receivable of USD 172,000 which is outstanding at the year end and is a monetary item. Therefore, this trade receivable should be revalued on reporting date at closing rate i.e., rate on 31 December. Total trade receivables in BDT should be reported as (172,000 x 103) = 1,77,16,000.

If Mira reports any other balance, audit team shall communicate with management and suggest audit adjustments.

Answer to the Question# 5 (e)

Mira has paid advance which remains unadjusted at the reporting date. Audit team was not able to see the payment instrument but confirmed by matching the cheque number that the amount has been paid from bank. Performing only these procedures are not sufficient to conclude on advance & prepayment. To conclude on the advance and prepayment, audit team need to confirm the audit assertions. Audit team need to perform following additional procedures to confirm assertions:

- Audit team need to confirm whether the payment made is actually advance and need to understand why the advance payment is required and how these advances will be settled. For these team need to obtain evidence related to recipient, amount and purpose of advance payment. These could be substantiated from agreement and communication.
- Audit team also need to confirm the amount has been paid to the actual recipient of Advance. This generally can be checked from the copy of payment instrument i.e., cheque paid to the recipient. In absence of copy of payment instrument, auditor may need to check the acknowledgement of receipt copy from the recipient. Audit team members can also check the subsequent invoices where the advance has been adjusted. If necessary, audit team members can obtain direct confirmation from the advance recipient.
- Audit team should also check whether the amount and payment are approved by appropriate level of management to confirm the advance payment and the transactions are valid.
- Audit team should also check the recoverability/settlement plan of the advance payment. Team also needs to confirm advance has been appropriately presented and disclosed in the financial statements.

---The End---